Please check the examination details below before entering your candidate information

Candidate surname	Other names

Pearson Edexcel
International GCSE

Centre Number	Candidate Number

Tuesday 14 May 2019

Morning (Time: 1 hour 15 minutes)	Paper Reference **4AC1/02R**

Accounting

Level 1/2
Paper 2 : Financial Statements

You do not need any other materials.

Total Marks

Instructions

- Use **black** ink or ball-point pen.
- **Fill in the boxes** at the top of this page with your name, centre number and candidate number.
- Answer **all** questions.
- Answer the questions in the spaces provided
  – *there may be more space than you need.*
- Calculators may be used.

Information

- The total mark for this paper is 50.
- The marks for **each** question are shown in brackets
  – *use this as a guide as to how much time to spend on each question.*

Advice

- Read each question carefully before you start to answer it.
- Try to answer every question.
- Check your answers if you have time at the end.

Turn over ▶

P61997A

©2019 Pearson Education Ltd.

1/1/1/1/1/1/1/1

P 6 1 9 9 7 A 0 1 1 2

Pearson

Answer all questions. Write your answers in the spaces provided.

1 (a) State **two** stakeholders and their interests in the financial statements of a business.

(4)

The first one has been completed as an example.

Stakeholder	Interest
Employees	*Security of employment*

Abel does not keep a full set of accounting records.

He provided the following information for the year ended 31 March 2019.

	31 March 2019 $	1 April 2018 $
Inventory	9 000	8 600
Trade payables	1 600	1 900
Trade receivables	4 400	3 800

During the year ended 31 March 2019:

- receipts from credit customers were $47 600
- cash sales banked were $3 600 after Abel took $2 000 for personal use
- payments to suppliers were $38 200

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

(b) Calculate for the year ended 31 March 2019:

(i) total sales

(6)

(ii) total purchases.

(4)

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

(c) Prepare an extract of the income statement for the year ended 31 March 2019 showing the **trading section** only.

(6)

Abel
Income statement for the year ended 31 March 2019

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

Abel has calculated the following ratios.

	31 March	
Ratio	**2019**	**2018**
Current (working capital)	2.42:1	3.01:1
Liquid (acid test)	0.92:1	1.52:1

(d) Evaluate the change in the liquidity of the business.

(5)

(Total for Question 1 = 25 marks)

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

2 (a) Identify, by indicating with a tick (✓), where in the financial statements each item would be shown.

The first item has been completed for you.

(6)

Item	Manufacturing account	Income statement	Statement of financial position
Purchase of raw materials	✓		
Accumulated depreciation – plant and machinery			
Carriage outwards			
Factory supervisor's salary			
Purchase of finished goods			
Returns inwards			
Royalties paid			

Dumadi, a manufacturer, provided the following information.

At 1 April 2018	$
Inventories	
Raw materials	12 500
Work in progress	3 600
Finished goods	5 500
Plant and machinery	
Cost	112 400
Accumulated depreciation	65 400
At 31 March 2019	
Prime cost	274 410
Indirect factory wages	16 320
Factory light, heat and power	9 620
Other receivables – rent and rates	1 800
Rent, rates and insurance	37 800
Inventories	
Raw materials	9 200
Work in progress	3 200
Finished goods	8 400

- Rent, rates and insurance are apportioned 70% to the factory and 30% to the office.
- Depreciation is provided on plant and machinery at 20% per annum using the reducing balance method.

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

(b) Prepare the manufacturing account for the year ended 31 March 2019 starting with the prime cost.

(9)

Dumadi
Manufacturing account for the year ended 31 March 2019

	$
Prime cost	274 410

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

(c) Complete the table, by indicating with a tick (✓) the effect each transaction would have on the profit for the year of a manufacturer.

(3)

	Increase	Decrease	No effect
Purchase of plant and machinery			
Increase in the allowance for doubtful debts			
Increase in the closing inventory of finished goods			

(d) Discuss the reasons why Dumadi uses the reducing balance method to depreciate his plant and machinery rather than the straight line method.

(5)

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

(e) State **two** reasons why non-current assets depreciate.

(2)

1 .....

.....

2 .....

.....

(Total for Question 2 = 25 marks)

TOTAL FOR PAPER = 50 MARKS

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

BLANK PAGE

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

BLANK PAGE

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

P619977A011112

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

BLANK PAGE